NAFTA & The Contract with America

NAFTA Preamble (signed Dec. 17, 1992; effective Jan. 1, 1994) & Republican 'Contract with America' (Sept. 27, 1994)

Source: U.S. Trade Representative, ustr.gov; Library of Congress.

Two landmark documents from the post-Cold War 1990s captured the era's twin currents: globalization and conservative resurgence. The North American Free Trade Agreement, negotiated under George H.W. Bush and signed into law by Bill Clinton, eliminated most tariffs between the U.S., Canada, and Mexico. The Contract with America, drafted by Newt Gingrich and signed by Republican House candidates before the 1994 midterm, called for term limits, a balanced-budget amendment, welfare reform, and tort reform. Republicans won 54 House and 8 Senate seats, taking control of Congress for the first time in 40 years.

Connect: NAFTA reflects the post-Cold War neoliberal consensus. Compare it to earlier trade policy — was the U.S. traditionally free-trade or protectionist?

Key Passages

NAFTA — Preamble

> The Government of Canada, the Government of the United Mexican States and the Government of the United States of America, resolved to: STRENGTHEN the special bonds of friendship and cooperation among their nations; CONTRIBUTE to the harmonious development and expansion of world trade and provide a catalyst to broader international cooperation; CREATE an expanded and secure market for the goods and services produced in their territories; REDUCE distortions to trade; ESTABLISH clear and mutually advantageous rules governing their trade; ENSURE a predictable commercial framework for business planning and investment.

Contract with America — preamble

> On the first day of the 104th Congress, the new Republican majority will immediately pass the following major reforms, aimed at restoring the faith and trust of the American people in their government. … This year's election offers the chance, after four decades of one-party control, to bring to the House a new majority that will transform the way Congress works.

Sample Contract planks

> (1) Require all laws that apply to the rest of the country also apply to the Congress. (2) Select a major, independent auditing firm to conduct a comprehensive audit of Congress for waste, fraud or abuse. … Then we shall offer ten bills [including] the Fiscal Responsibility Act, the Taking Back Our Streets Act, the Personal Responsibility Act, the American Dream Restoration Act, the National Security Restoration Act, the Senior Citizens' Fairness Act, the Job Creation and Wage Enhancement Act, the Common Sense Legal Reforms Act, and the Citizen Legislature Act.

HIPP Analysis

Model answers fill the first three rows. Use them to explain the author's Purpose in the last row.

HIPP Element	Your Analysis
Historical Situation *What was happening when this was written?*	The post-Cold War 1990s: globalization and free trade expanded, and conservatives pushed against big government after Clinton's early agenda.

HIPP Element	Your Analysis
Intended Audience *Who was the source written for?*	NAFTA: the three governments, businesses, and investors. Contract: American voters before the 1994 midterm election.
Point of View *Whose perspective? Whose is missing?*	NAFTA: free-trade supporters in both parties (Bush, Clinton). Contract: Gingrich and House Republicans; organized labor and NAFTA critics are absent.
Purpose *What did the author want to accomplish?*	

Analysis Prompts

1. LEQ Complexity (1 pt): Argue that the post-Cold War 1990s was a moment of BOTH neoliberal consensus AND deepening partisan polarization.

2. Identify TWO consequences of NAFTA — one positive and one negative — that the AP would expect you to cite.

3. Why was the Contract with America such an effective campaign device?